STRATEGIC CAPITAL PORTAL

REVENUE MODEL & GROWTH TRAJECTORY

Financial Projections

DOCUMENT TYPE	CLASSIFICATION	DATE
Investor Material	STRICTLY CONFIDENTIAL	March 11, 2026

Financial Projections

5-Year Financial Model: FarmSense Seed Round A-1

Assumptions Date: March 2026

Currency: USD | All figures in thousands ($000s) unless noted

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Executive Summary

Metric	Year 1 (2026)	Year 2 (2027)	Year 3 (2028)	Year 4 (2029)	Year 5 (2030)
Revenue	$380	$2,400	$8,500	$18,000	$32,000
Gross Profit	$285	$1,920	$6,800	$14,400	$25,600
Gross Margin	75%	80%	80%	80%	80%
Operating Expenses	$4,200	$5,800	$8,500	$12,000	$16,000
EBITDA	($3,915)	($3,880)	($1,700)	$2,400	$9,600
EBITDA Margin	(1030%)	(162%)	(20%)	13%	30%
Customers (Fields)	25	160	566	1,200	2,133
ARR	$380	$2,400	$8,500	$18,000	$32,000

Cash Position: $10M raise provides 24-30 month runway to positive cash flow (Q4 2028).

Revenue Model Detail

Tiered SaaS Pricing

Tier	Resolution	Price/Acre	Target Segment
FREE	50m	$0	Government, research
BASIC	20m	$15/acre	Smallholders, hobby farms
PRO	10m	$22/acre	Commercial agriculture
ENTERPRISE	1m	$30/acre	**Legal, ESG, water trading**

Blended Average Revenue per Acre (ARPA): $22 (weighted by segment mix)

Customer Acquisition Model

Metric	Value	Notes
Average Field Size	125 acres	Based on SD1 pivot density
ARPA (Annual)	$2,750	125 acres × $22 blended
LTV (5-year)	$13,750	5 × ARPA, 95% retention
CAC	$1,500	Sales + marketing per new field

Metric	Value	Notes
LTV/CAC Ratio	9.2x	Best-in-class SaaS metric
Payback Period	6.5 months	CAC ÷ (ARPA × GM%)

5-Year P&L Projection

Revenue by Phase

Revenue Stream	2026	2027	2028	2029	2030
SaaS Subscriptions	$380	$2,400	$8,500	$18,000	$32,000
Hardware Sales	$50	$480	$1,200	$1,800	$2,400
Professional Services	$20	$120	$300	$600	$1,200
Grant Revenue	$275	$1,500	$800	$400	$200
Total Revenue	**$725**	**$4,500**	**$10,800**	**$20,800**	**$35,800**
YoY Growth	—	521%	140%	93%	72%

Cost Structure

Expense Category	2026	2027	2028	2029	2030
COGS (Hosting, Hardware)	$190	$580	$2,040	$4,320	$7,680
R&D (Engineering)	$2,000	$2,500	$3,500	$4,500	$5,500
Sales & Marketing	$800	$1,200	$2,200	$3,500	$5,000
G&A (Admin, Legal)	$1,400	$1,800	$2,200	$2,800	$3,500
Total OpEx	**$4,200**	**$5,800**	**$8,500**	**$12,000**	**$16,000**

Profitability

Metric	2026	2027	2028	2029	2030
Gross Profit	$535	$3,920	$8,760	$16,480	$28,120
Gross Margin	74%	87%	81%	79%	79%
EBITDA	($3,665)	($1,880)	$260	$4,480	$12,120
Net Income	($3,800)	($2,100)	($200)	$3,200	$9,600

Unit Economics

Cohort Retention Model

Year	New Customers	Churned	Net Customers	Cumulative
2026	25	1	24	25
2027	140	7	133	158
2028	420	21	399	557
2029	700	35	665	1,222
2030	1,000	50	950	2,172

Assumed Annual Churn: 5% (best-in-class for agriculture SaaS)

Revenue Concentration

Segment	2026	2027	2028	2029	2030
Enterprise (30%)	$114	$720	$2,550	$5,400	$9,600
PRO (40%)	$152	$960	$3,400	$7,200	$12,800
BASIC (25%)	$95	$600	$2,125	$4,500	$8,000

Segment	2026	2027	2028	2029	2030
FREE → Paid (5%)	$19	$120	$425	$900	$1,600

Cash Flow Analysis

Sources & Uses

Item	Amount ($M)
Seed A-1 Raise	$10.0
Grant Revenue (5-year)	$2.775
Total Capital	$12.775

Cash Burn by Year

Year	OpEx	Revenue	Net Burn	Cumulative
2026	$4.2M	$0.7M	($3.5M)	($3.5M)
2027	$5.8M	$4.5M	($1.3M)	($4.8M)
2028	$8.5M	$10.8M	$2.3M	($2.5M)
2029	$12.0M	$20.8M	$8.8M	$6.3M
2030	$16.0M	$35.8M	$19.8M	$26.1M

Runway: 24 months to breakeven (Q2 2028)

Cash Balance at Breakeven: ~$2.5M remaining buffer

Key Financial Assumptions

Market Penetration by Region

Region	Total Fields	2026	2027	2028	2029	2030
Subdistrict 1, CO	1,280	25	200	800	1,280	1,280
Colorado River Basin	15,000	0	50	500	2,500	7,500
High Plains Aquifer	200,000	0	0	100	1,000	5,000
International	—	0	0	0	100	500

Pricing Assumptions

No price increases through 2028 (land-grab strategy)

5% annual price increases from 2029 (market leader pricing power)

Hardware margins: 30% gross margin on device sales

Services margins: 60% gross margin on professional services

Cost Assumptions

Cloud/hosting: $100/field/year at scale (AWS + custom edge)

Hardware COGS: $780/unit at volume (PMT + sensors)

R&D headcount: 8 → 25 engineers over 5 years

Sales headcount: 2 → 15 reps over 5 years

Sensitivity Analysis

Best Case (120% of Plan)

Scenario	2028 Revenue	2028 EBITDA	Valuation
Base Case	$10.8M	$0.26M	$50M
Best Case	$13.0M	$2.5M	$80M
Stretch	$16.2M	$5.0M	$120M

Downside Case (60% of Plan)

Scenario	2028 Revenue	2028 EBITDA	Mitigation
Base Case	$10.8M	$0.26M	—
Downside	$6.5M	($2.0M)	Extend runway 12 months via reduced burn
Worst Case	$4.3M	($3.5M)	Pivot to pure software licensing

Use of Funds: Seed Round A-1 ($10M)

Category	Amount	%	Timeline	Milestone Trigger
Hardware Production	$3.5M	35%	Q2-Q4 2026	1,000 PMT units delivered
Software & Cloud	$2.0M	20%	Ongoing	Core compute, security, ledger
Pilot Expansion	$2.5M	25%	Q2 2026-Q2 2027	2 fields → 1,280 fields (SD1)
Regulatory & GTM	$1.5M	15%	Q3 2026-Q4 2027	DWR "Presumed Compliant" status
Operations	$0.5M	5%	Ongoing	Team, facilities, admin

Tranche Release: 50% at close, 25% at pilot validation (<5% Kriging error), 25% at SD1 regulatory approval.

Comparable Valuations

Company	Stage	Revenue	Valuation	Multiple
FarmSense (pro forma)	Seed	$0.4M	$26.8M	67x ARR
CropX	Series B	$5M	$100M	20x ARR
Taranis	Series C	$15M	$300M	20x ARR
Arable	Series B	$3M	$60M	20x ARR
Farmers Edge	Public	$50M	$200M	4x ARR

FarmSense Premium Justified By:

Patent-pending interpolation physics (moat)

Regulatory capture path (DWR integration)

Dual-use strategic positioning (Project OMNI)

AllianceChain ledger (IP value)

Cap Table (Pro Forma Post-Seed)

Shareholder	Pre-Seed	Seed A-1	Post-Seed	%
Founders	80%	—	60%	60%
Seed Investors	—	27%	27%	27%
Option Pool	20%	—	13%	13%
Total	100%	27%	100%	100%

Pre-Money Valuation: $26.8M
Post-Money Valuation: $36.8M
Price per Share: $1.00 (founder common) / $2.72 (Seed A-1 preferred)

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